

Tutor payments — how it works

How money reaches a tutor: what we collect from them, how their monthly total is calculated, and who is responsible at each step.

STATUS — PLANNED, NOT YET BUILT

This describes the system as designed, not as it works today. Right now tutor payments are calculated in the admin dashboard and transferred manually. **Do not quote timelines or statuses in this document to a tutor yet.** This page will be updated when each part goes live.

01 Overview

Students pay upfront when they book. That money is held by the company, and the tutor is paid their share once a month for the classes they actually delivered.

The system calculates each tutor's monthly total automatically and prepares a payment batch. **A person reviews and approves that batch before any money moves.** Nothing is transferred without a human releasing it.

The approval step is deliberate. If a calculation is ever wrong, it produces a wrong number on a screen rather than a wrong transfer to every tutor at once.

02 How a tutor gets paid

End to end, from signup to money in the account. Steps marked in amber need a person.

1 Tutor submits payment details TUTOR

A one-time form in profile settings: bank account, PAN, and the supporting documents listed in section 3.

2 Bank account verified automatically SYSTEM

A ₹1 test transfer confirms the account exists and returns the name the bank holds. This catches wrong account numbers before any real payment.

3 Details approved OPERATIONS

Someone checks the documents against the submitted details and approves. A tutor cannot be paid until this happens.

4

Classes are delivered and marked complete TUTOR / SYSTEM

Only completed classes count toward payment. Cancelled and no-show classes do not.

5

Month-end totals calculated SYSTEM

The system sums each tutor's completed classes for the month, applies the commission split, and creates a payment record awaiting approval.

6

Batch reviewed and released FINANCE

The full batch is reviewed line by line and released. This is the only point at which money actually moves.

7

Transfers sent and confirmed SYSTEM

Payments go to each tutor's bank account. Status is tracked until the bank confirms, and failures are flagged for follow-up.

03 What tutors provide

The exact list depends on which Razorpay product we use — see section 7. That decision is still open.

Documents

DOCUMENT	OPTION A · RAZORPAYX	OPTION B · ROUTE
PAN card	Required	Required
Bank proof — cancelled cheque, passbook page, or statement page	Required	Required
Address proof — Aadhaar, passport, voter ID, or licence	—	Required
Photo ID	—	Required
GST certificate	only if registered	only if registered
Typical individual tutor	2 documents	4 documents

Form fields

Thirteen fields in total. Everything else we already hold or can derive — bank name and branch come from the IFSC code, and name, email and phone come from their existing account.

GROUP	FIELDS
Identity	Legal name as printed on PAN · PAN number · Date of birth · GST registered? → GSTIN if yes
Bank	Account holder name · Account number · Confirm account number · IFSC code · Account type · UPI ID (<i>optional</i>)
Consent	Acceptance of the commission rate and payout terms

Account holder name must match the bank's records exactly, not their display name on Cuvasol. Joint accounts and maiden names are the most common reason a payment fails.

04 How the amount is worked out

Three rules, applied in order.

1 · Only delivered classes count

A tutor is paid per class actually completed, not per class booked. For a monthly pack, the amount the student paid is divided across the classes in that pack, and the tutor is paid for the ones delivered. Six of twelve classes delivered means half the pack value.

2 · The commission split is applied

The company retains a percentage and the tutor receives the rest. The current system uses 90 / 10; moving to 70 / 30 is under discussion but **not yet decided** — see section 9.

3 · The rate in force at the time is used

If a tutor changes their hourly rate mid-month, classes are paid at whatever rate applied on the day they were taught. Rate changes are never applied retroactively.

Because the commission is taken from what the student actually paid, discounts reduce both sides proportionally. On the three-day monthly pack — which already gives students **30%** off — this compounds noticeably. How to handle that is open; see section 9.

05 Status reference

What each status means and who moves it forward. Useful when a tutor asks where their money is.

Tutor payment details

STATUS	MEANING	NEXT STEP
Not submitted	Tutor has not filled the form	Tutor completes it
Pending verification	Submitted, ₹1 bank check running	Automatic, usually minutes
Bank check failed	Account number or IFSC is wrong	Tutor corrects and resubmits
Pending approval	Bank check passed, awaiting a person	Operations reviews
Verified	Approved — tutor can be paid	None
Rejected	Details or documents did not check out	Reason is sent to the tutor

A monthly payment

STATUS	MEANING	NEXT STEP
Pending approval	Amount calculated, awaiting release	Finance reviews the batch
Approved	Released, queued to send	Automatic
Processing	Sent to the bank	Automatic, usually same day
Paid	Bank confirmed. Reference available	None
Failed	Bank rejected the transfer	Operations investigates and retries

06 Who does what

TEAM	RESPONSIBLE FOR
Tutor	Submitting accurate bank and tax details; keeping them current; marking classes complete
Operations	Approving tutor payment details; handling failed transfers and rejections; answering tutor queries about status
Finance	Reviewing and releasing the monthly batch; tax treatment; reconciling against bank statements
Engineering	Calculation accuracy; the Razorpay integration; keeping payment data secure
Support	Directing tutors to this document; escalating anything payment-related to Operations

Payment details can only be seen by the tutor who owns them and by approved staff. Account numbers are stored encrypted and shown only as the last four digits. **Never ask a tutor to send bank details over chat or email.**

07 The two Razorpay options

They differ in who holds the money between the student paying and the tutor being paid. This choice is not yet made.

A · RazorpayX

Money sits with	Us, until we pay out
Documents	2 per tutor
Tutor signup	Fast
Needs	A current account

Simpler to build, easier for tutors to join. But we hold students' money for weeks, and refunds after a payout mean recovering it from the tutor.

B · Razorpay Route

PREFERRED

Money sits with	Razorpay, held for us
Documents	4 per tutor
Tutor signup	Slower — each tutor is verified
Needs	Marketplace approval

More onboarding friction, but money is ring-fenced and released as classes are delivered. Refunds stay clean.

The deciding case is monthly packs. A student pays ₹4,200 upfront for twelve classes across a month. Under Option A that whole sum sits in our account for weeks — money we owe but hold, and must return if the tutor stops showing up. Under Option B it sits at Razorpay and releases class by class, matching how we already track them.

08 Common questions

When will tutors be paid?

Once a month, for classes completed in the previous month. The exact day is not yet fixed — see section 9.

What if a tutor's payment fails?

The payment is marked *Failed* with a reason from the bank, and Operations follows up. Usually it is an incorrect account number or a closed account. The tutor corrects their details and the payment is retried in the next run — the amount is not lost.

What happens if a tutor has not submitted their details?

Their earnings accumulate and are held. Nothing is forfeited. They are paid once their details are submitted and approved, in the next monthly run.

What if a class was cancelled or the tutor did not attend?

Only completed classes are paid. Cancelled classes are excluded from the total. For monthly packs the value is spread across the classes in the pack, so an undelivered class simply is not counted.

Can a tutor change their bank account? —

Yes, through profile settings. Any change re-runs the ₹1 verification and needs approval again before the next payment. The tutor is emailed whenever their details change — this is a security measure, since changing a bank account is a common fraud route.

Is tax deducted from a tutor's payment? —

Not decided yet, and it needs input from our accountant. This is why PAN is mandatory — without one on file, tax is deducted at a substantially higher rate.

Why does a tutor need to give a PAN at all? —

It is a legal requirement for making payments of this kind in India, and it is how the tutor's identity is confirmed against their bank account.

09 Not yet decided

Open questions. This section shrinks as decisions are made.

Which Razorpay option

LEADERSHIP — depends partly on whether marketplace approval is granted.

The commission split on discounted packs

LEADERSHIP — the three-day pack already gives students 30% off. Taking a further 30% brings the tutor's effective rate well below their listed rate. Needs settling before tutors accept any terms.

Tax handling

FINANCE — whether tax is deducted at source or left to the tutor.

Minimum payment amount

FINANCE — so very small transfers do not cost more in fees than they are worth.

Payment day and cutoff

OPERATIONS — which day of the month payments run, and how late a class can be marked complete and still count.

Technical detail — data structures, validation rules, API specifics and security handling — is in **TUTOR_PAYMENT_SYSTEM.md** in the codebase. Razorpay's requirements change over time, so specifics should be confirmed with our account manager before they are relied on. Questions about this document go to Operations.